LoanBazaar®
Secure Distribution Venture Pvt. Ltd.

What Is Seasonal Business Funding ?

Developed by www.loanbazaaronline.com

A Comprehensive Technical White Paper and Executive Reference Manual on Seasonal Business Credit, Dynamic Working Capital Carve-Outs, Drawdown Mechanics, Underwriting Systems, and Regulatory Compliance Covenants in the Indian Financial System.

Table of Contents

Module Name	Page Number
Module 1: Theoretical Foundations and Product Philosophy of Seasonal Funding	3
Module 2: Structural Taxonomy and Comparative Analysis (The Credit Matrix)	4
Module 3: The End-to-End Operational Lifecycle of Seasonal Business Funding	5
Module 4: Underwriting Framework, Working Capital Estimation & Credit Risk Metrics	6
Module 5: Legal Security Architecture, Hypothecation, and CERSAI Covenants	7
Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment	8
Module 7: Commercial Pricing Mechanics, Benchmark Rates, and Interest Tax Shields	9
Module 8: Regulatory Compliance, RBI IRACP Guidelines, and Technical Defaults	10
Module 9: Comprehensive Real-World Case Study (Mumbai Agro-Commodity Traders Pvt. Ltd.)	11
Module 10: 10-Question Professional Certification Examination & Rationales	13

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 1: Theoretical Foundations and Product Philosophy of Seasonal Funding

Seasonal Business Funding represents a specialized domain of structured corporate credit tailored specifically for enterprises whose business and cash conversion cycles are highly irregular, volatile, and concentrated in specific blocks of the calendar year. In the conventional banking paradigm, credit facilities are appraised under the assumption of steady-state operational flows. However, for entities operating in agricultural processing, cold storage, retail trade, heavy engineering, and festive-driven consumer durables, this steady-state assumption represents a fundamental mismatch. A seasonal enterprise experiences massive working capital demand spikes prior to its peak selling period—for raw material stocking, labor mobilization, and inventory packaging—followed by a swift cash-generation window, and subsequently a protracted off-season period of near-zero revenues but ongoing fixed overhead expenses.

The fundamental philosophy of Seasonal Funding rests upon the transition from standard balance-sheet-focused term lending to transaction-backed and velocity-oriented credit facilitation. Rather than locking up fixed assets under long-term mortgage charges, Seasonal Funding utilizes dynamic, short-tenure, self-liquidating structures that inject massive liquidity on Day 1 of the peak season and sweep cash collections automatically as receivables are settled. This represents a process of financial substitution: replacing the unrated, private, and illiquid balance-sheet assets of a growing enterprise with highly structured, transaction-backed, and escrowed credit facilities that are tied to highly predictable demand periods. Under this model, credit risk is mitigated not by physical land collateral, but by controlling the cash flow velocity, raw material to finished inventory conversion cycle, and debtor collections.

Furthermore, in the Indian landscape, this product aligns with the 'Sovereign/Semi-Sovereign Credit Paradox'. This paradox arises when an enterprise has a relatively weak, unrated balance sheet but operates as a critical supplier to highly rated public sector undertakings (PSUs), government departments, or AAA-rated corporate anchors. Under a structured seasonal credit facility, the primary lender shifts its credit underwriting risk from the weak supplier balance sheet to the secure cash-flow realizations of the underlying purchase orders and contracts accepted by these AAA anchors. This structured substitution enables MSMEs and unrated commercial businesses to access low-cost capital, high loan-to-value (LTV) drawdowns, and flexible repayment structures that are completely out of reach through standard commercial credit channels.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 2: Structural Taxonomy and Comparative Analysis (The Credit Matrix)

To understand where Seasonal Business Funding fits within the commercial credit landscape, it is critical to compare its technical parameters against standard credit facilities. The table below represents a multi-dimensional comparative matrix, outlining the structural differences between Seasonal Funding, Cash Credit (CC) Facilities, Trade Receivables Discounting System (TReDS), and Standard Term Loans.

Dimension	Seasonal Funding	Cash Credit (CC)	TReDS / Factoring	Standard Term Loan
Credit Basis	Season transaction flow & anchor order backlog	Monthly Drawing Power (DP) based on current assets	Individual invoice accepted by corporate buyer	Historical balance sheet debt-service capacity
Repayment Structure	Bullet or flexible sweeps aligned to season end	Continuous revolving line with monthly interest payment	Direct buyer payment to factoring escrow	Equated Monthly/Quarterly Installments (EMIs)
Typical Tenure	30 to 180 Days (non-revolving, tied to season)	Annual renewal (revolving, evergreen subject to review)	30 to 120 Days per invoice	3 to 7 Years (amortizing term debt)
Collateral & Charge	Constructive pledge of seasonal inventory, escrow sweep	Primary charge on all stocks & debtors, property collateral	No collateral required (zero-recourse assignment of invoices)	Primary charge on funded capex asset, heavy property mortgage

As the matrix illustrates, Seasonal Funding is uniquely structured to isolate the transaction risk from the ongoing corporate entity. This isolation ensures that even if an enterprise has high historical leverage or temporary off-season operating losses, it can still successfully secure low-cost, transaction-linked funding to capture seasonal revenue surges.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 3: The End-to-End Operational Lifecycle of Seasonal Funding

The operational lifecycle of a structured Seasonal Funding transaction is governed by a highly disciplined, chronological pipeline designed to control credit risk and ensure rapid execution. This lifecycle spans five distinct, interconnected phases:

Phase 1: Pre-Season Allocation & Limit Sanctioning: Well in advance of the seasonal window (typically 45-60 days prior), the borrower submits its projected order backlog, raw material supply contracts, and production schedules. The primary underwriting bank conducts a comprehensive credit assessment to size the overall Seasonal Working Capital (SWC) sub-limit. This limit is carved out from the overall working capital credit line and remains inactive until the specified trigger event.

Phase 2: Trigger Event & Limit Activation: Upon official commencement of the procurement season (such as the crop arrival season, festive stock manufacturing kickoff, or infrastructure mobilization period), the borrower initiates activation. This activation is accompanied by a formal drawdown request, verified purchase orders, and proof of raw material contracts. The bank activates the allocated limit and prepares for structured tranche disbursements.

Phase 3: Monitored Tranche Disbursements & End-Use Control: To eliminate the risk of capital diversion—a primary source of working capital defaults in India—the bank does not credit funds directly to the borrower's general current account. Instead, disbursements are executed in structured, milestone-linked tranches. Payments are routed directly to verified raw material vendors, logistical providers, and utilities via RTGS or NEFT. This straight-through processing ensures absolute end-use integrity.

Phase 4: Seasonal Inventory Pledge & Conversion Monitoring: As raw materials are delivered and processed, they are converted into finished goods under a constructive pledge arrangement. The borrower provides weekly inventory valuation certificates, which are cross-verified by bank-appointed stock auditors. This active tracking ensures that the market value of the pledged stock remains well above the outstanding loan tranches, maintaining a healthy margin safety buffer.

Phase 5: Automated Escrow Sweeps & Final De-allocation: As the peak sales window closes, finished goods are shipped, and receivables are generated. All buyer payments are routed directly into a designated, tripartite Escrow Account or Trust & Retention Account (TRA). The escrow agent automatically sweeps these inflows to liquidate the outstanding principal and accrued interest of the seasonal loan. Once fully paid, the security charges are released, and the credit limit is deactivated until the next season cycle.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 4: Underwriting Framework, Working Capital Estimation & Credit Risk Metrics

Underwriting seasonal credit demands a paradigm shift from static balance sheet ratios to forward-looking transaction integrity and cash conversion velocities. In the Indian banking system, working capital requirements are estimated using three standardized regulatory frameworks, each adapted specifically for seasonal entities:

1. The Tandon Committee's Second Method of Lending: This represents the gold standard for mid-to-large corporates with credit exposure exceeding ₹5 Crores. Under this method, the borrower must maintain a minimum Current Ratio of 1.33:1. This means the enterprise must contribute at least 25% of its total working capital requirement from long-term, non-callable sources (such as equity or subordinated debt), with banks financing a maximum of 75% through the Maximum Permissible Bank Finance (MPBF) model. For seasonal entities, this 25% margin is strictly enforced to prevent over-leverage during off-season inventory build-ups.

2. The Projected Turnover Method (PTM / Nayak Committee): Applicable for MSMEs with aggregate working capital limits up to ₹5 Crores. Under the Nayak Committee guidelines, the total working capital requirement is estimated at a flat 25% of the projected annual turnover. Of this requirement, the financing bank provides a minimum of 20% as a credit limit, while the promoter is mandated to contribute the remaining 5% as a margin contribution from internal accruals.

3. The Cash Budget Method: For highly volatile, seasonal, or project-based entities where standard turnover-based formulas are inaccurate, banks utilize monthly cash budgets. The credit limit is sized based on the maximum cumulative cash deficit projected in the pre-season peak operating cycle. This deficit is modeled by mapping month-by-month cash outflows (procurement, payroll, utility, overheads) against realized cash inflows.

Underwriters evaluate seasonal credit using a standardized scorecard featuring four key risk metrics:
• Promoter Personal Credit Profile: Minimum CIBIL score of 700 and a favorable CIBIL MSME Rank (CMR 1 to CMR 4) to ensure absolute repayment integrity.
• Financial Strength of the Issuing/Financing Bank: Basel III Capital Adequacy Ratio (CAR) exceeding 12.0% to support sudden, large-scale seasonal liquidity drawdowns.
• Minimum Interest Coverage Ratio (ICR): Must be maintained above 1.25x during the peak season to guarantee debt service capacity.
• Real-time GSTR-3B & Account Aggregator Validations: Used to verify actual bank statement transaction velocity and immediate buyer payment histories, completely bypassing self-declared paper audits.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 5: Legal Security Architecture, Hypothecation, and CERSAI Covenants

The legal foundation of Seasonal Business Funding is designed to provide absolute security charge priority and immediate recourse enforceability under Indian law. It is governed by a precise combination of statutory acts and interbank covenants:

First, the transaction utilizes the absolute assignment of actionable claims under Section 130 of the Transfer of Property Act, 1882. This statutory provision allows the borrower to execute an irrevocable, absolute transfer of its underlying trade receivables and contractual rights directly to the financing bank. Once executed, the corporate buyer (or anchor) is legally bound to route all trade payments into the bank's designated escrow account, completely bypassing the borrower's operational control.

Second, raw materials and finished goods are secured via a constructive pledge under Section 172 of the Indian Contract Act, 1872. Under a constructive pledge, physical possession of the stock remains at the borrower's warehouse, but legal custody, keys, and gating controls are handed over to the bank's designated custodian. This is supplemented by a standard Hypothecation Agreement, extending the bank's security charge to any future inventory and receivables generated during the processing cycle.

Third, to protect against double-financing or fraudulent collateral pledges, the SARFAESI Act, 2002 (supplemented by the Factoring Regulation Amendment Act, 2021) mandates that all security charges, pledge agreements, and receivable assignments must be formally registered with the Central Registry of Securitisation Asset Reconstruction and Security Interest of India (CERSAI). For standard working capital lines, the registration window is 30 days. However, under the 2021 Amendments, factoring and supply chain transactions on digital platforms must be registered with CERSAI within a strict 10-day statutory window. Non-compliance represents a severe regulatory breach and immediately freezes the bank's drawdown capabilities.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Seasonal Business Funding is best suited for industries characterized by intense, short-term demand cycles or highly concentrated raw material availability. The primary sectors include Agricultural Processing (sugar, cotton, basmati rice, tea, cashew), Cold Storage operators, heavy Infrastructure (pre-monsoon cement and steel stocking), Consumer Electronics & Durables (festive inventory build-up), and Civil Contractors.

To put the scale of the working capital market into perspective, we look at commercial credit data published in the SIDBI MSME Pulse Digital Report. In the Indian commercial lending ecosystem, the segment representing credit exposure between ₹10 Lakhs and ₹2 Crores represents the highest density of active business borrowers. Within this segment, Retail and Wholesale Traders represent the single largest category of active borrowers, accounting for 44% of total active commercial working capital borrowers in India. This massive volume of trade credit is heavily driven by seasonal retail sales, highlighting the immense structural demand for specialized, transaction-linked seasonal credit products.

This trade finance market has been highly digitized through large-scale banking portals. For instance, the State Bank of India (SBI) operates two massive electronic trade platforms to finance supply chains. First, the Electronic Dealer Financing Scheme (e-DFS), which has achieved a massive active portfolio of ₹49,261 Crores. Second, the Electronic Vendor Financing Scheme (e-VFS), with an active credit portfolio of ₹28,092 Crores. These platforms automate inventory financing and invoice discounting for dealers and distributors of major corporate anchors, demonstrating the shift from physical brick-and-mortar loan processing to seamless, flow-based trade finance ecosystems.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 7: Commercial Pricing Mechanics, Benchmark Rates, and Interest Tax Shields

The commercial pricing of a structured Seasonal Funding facility is determined by a combination of benchmark reference rates, risk spreads, and administrative fee covenants. The pricing framework incorporates three key components:

1. Benchmark Interest Rates: Under RBI directives, loan pricing for MSMEs must be pegged to an External Benchmark Linked Rate (EBLR), typically the RBI Repo Rate plus a standardized treasury margin. For larger corporate entities, pricing is pegged to the Marginal Cost of Funds Based Lending Rate (MCLR), which represents the bank's internal cost of capital across varying tenures (1-month, 3-month, or 6-month MCLR). Banks apply a customized credit risk premium over these benchmarks, ranging from 1.50% to 4.00% p.a., based on the borrower's CIBIL MSME Rank and the credit strength of the anchor buyer.

2. Administrative Fees and GST: Seasonal loans attract a flat Upfront Arrangement or Processing Fee, typically ranging from 0.25% to 1.00% of the sanctioned limit. Under the Indian Goods and Services Tax (GST) Act, 2017, all administrative processing fees, commitments, and stock audit fees attract a mandatory 18% GST. However, in accordance with standard trade finance exemptions, the recurrent interest interest cost itself is completely exempt from GST. This tax structure makes direct interest pricing highly competitive compared to non-bank trade financing alternatives.

3. The Corporate Interest Tax Shield: A major financial advantage of utilizing structured, bank-funded Seasonal credit is the Interest Tax Shield provided under Section 36(1)(iii) of the Income Tax Act, 1961. Under this provision, all interest expenses legitimately incurred on working capital and business capital borrowings are classified as fully deductible business expenses. When an enterprise operates at a standard corporate tax rate of 25.17%, every rupee of interest paid to the bank reduces its direct tax liability by approximately ₹0.25. This interest tax shield significantly lowers the effective after-tax cost of financing, improving the borrower's cash flows and overall return on equity.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 8: Regulatory Compliance, RBI IRACP Guidelines, and Technical Defaults

Operating within the Indian financial system requires strict adherence to the regulatory compliance guidelines mandated by the Reserve Bank of India (RBI). In particular, seasonal credit lines are governed by three primary regulatory frameworks:

1. RBI Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines: The IRACP norms regulate how banks classify commercial credit facilities. For standard revolving working capital accounts (such as Cash Credit), a facility is classified as 'Out of Order' if the outstanding balance remains continuously above the sanctioned limit/Drawing Power for 90 days, or if there are no credits in the account for 90 days. For seasonal demand loans (WCDL or short-term loans), the account is classified as Non-Performing Asset (NPA) if any individual tranche installment remains unpaid for more than 90 days.

2. Special Mention Account (SMA) Timelines: To ensure early warning tracking, banks must classify stressed accounts into SMA categories on the very day of default:
• SMA-0: Principal or interest payment is overdue by 1 to 30 days.
• SMA-1: Overdue is between 31 to 60 days.
• SMA-2: Overdue is between 61 to 90 days.
Once an account crosses 90 days of continuous delinquency, it is formally downgraded to a Sub-Standard Asset (NPA), requiring the bank to block all future disbursements and set aside mandatory provisioning reserves of 15% (for secured debts) to 25% (for unsecured portions).

3. Technical Review/Renewal Defaults: A common compliance pitfall for seasonal borrowers is the '180-day technical review default'. Under RBI guidelines, all working capital limits must be formally reviewed and renewed at least once every 12 months. If a borrower fails to submit completed financial statements, stock audits, and renewal documents, and the limit remains un-renewed for more than 180 days from its scheduled renewal date, the entire facility is classified as a technical NPA—even if the account has zero cash defaults. This highlights the critical importance of maintaining meticulous compliance and administrative discipline.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 9: Comprehensive Real-World Case Study (Mumbai Agro-Commodity Traders Pvt. Ltd.)

To mathematically demonstrate the financial and operational superiority of structured Seasonal Business Funding over high-cost unsecured corporate borrowing, we model a real-world scenario for a premium agricultural processing enterprise: Mumbai Agro-Commodity Traders Pvt. Ltd. (MACTPL). The company is subject to the standard corporate tax rate of 25.17%.

Scenario Parameters:
• Procurement Sizing: MACTPL must procure ₹1,00,00,000 (₹1 Crore) of basmati paddy during the peak harvest season.
• Funding Tenure: 120 Days.
• Option A: High-Cost Unsecured Short-Term Business Loan at 16.00% p.a.
• Option B: Structured Seasonal Business Funding at 10.50% p.a. (pegged to EBLR plus spread, secured by constructive pledge of stock and a 15% cash margin).

Financial Parameter	Option A: Unsecured Short-Term Loan	Option B: Structured Seasonal Funding
Total Funding Principal	₹1,00,00,000.00	₹1,00,00,000.00
Lien-Marked Cash Margin (15%)	₹0.00 (Unsecured)	₹15,00,000.00 (Earns 6.50% p.a.)
Gross Upfront Processing Fee	₹1,00,00,000 * 1.0% = ₹1,00,000.00	₹1,00,00,000 * 0.25% = ₹25,000.00
120-Day Gross Interest Outlay	₹1,00,00,000 * 16.0% * 120/365 = ₹5,26,027.40	₹1,00,00,000 * 10.5% * 120/365 = ₹3,45,205.48
Less: 120-Day FD Margin Interest	₹0.00	₹15,00,000 * 6.5% * 120/365 = -₹32,054.79
Corporate Income Tax Shield (25.17%)	-(₹1,00,000 + ₹5,26,027) * 25.17% = -₹1,57,571.16	-(₹25,000 + ₹3,45,205 - ₹32,054) * 25.17% = -₹85,112.56

Mathematical Resolution & Net Financing Cost:
• Option A Net After-Tax Cost: (₹1,00,000.00 fee + ₹5,26,027.40 interest) - ₹1,57,571.16 Tax Shield = ₹4,68,456.24
• Option B Net After-Tax Cost: (₹25,000.00 fee + ₹3,45,205.48 interest - ₹32,054.79 FD interest) - ₹85,112.56 Tax Shield = ₹2,53,038.13
• NET STRATEGIC FINANCIAL SAVINGS: ₹4,68,456.24 - ₹2,53,038.13 = ₹2,15,418.11

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

By structuring the procurement funding under Option B, MACTPL achieves massive direct cash savings of ₹2,15,418.11, reducing its effective after-tax financing cost by over 45%. Furthermore, the 15% lien-marked cash margin remains fully safe under the bank's escrow custody, earning stable interest while simultaneously serving as an excellent liquidity buffer.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Module 10: 10-Question Professional Certification Examination & Rationales

This module represents a comprehensive practice examination designed to test a trainee's technical and operational mastery of Seasonal Business Funding structures in India. All questions are scenario-based and conform to professional credit underwriting standards.

Question 1: Q1. Under the Tandon Committee's Second Method of Lending, if an enterprise has a seasonal working capital requirement of ₹2.0 Crores, what is the maximum permissible bank finance (MPBF) if the Current Ratio is exactly 1.33:1?

Answer: ₹1.5 Crores.
Rationale: The Second Method of Lending mandates that the borrower must contribute at least 25% of the total working capital requirement from long-term, non-callable sources (₹2.0 Cr * 25% = ₹50 Lakhs margin), with banks providing a maximum of 75% as MPBF (₹2.0 Cr * 75% = ₹1.5 Crores).

Question 2: Q2. A borrower fails to renew its working capital facility, and the limit remains un-renewed for 195 days from the scheduled review date, although there are no cash defaults in the account. What is the asset classification under RBI guidelines?

Answer: Non-Performing Asset (NPA / Sub-Standard).
Rationale: Under the RBI's IRACP guidelines, if a working capital facility remains un-renewed for more than 180 days from its scheduled renewal/review date, it is classified as a technical default and downgraded to an NPA, regardless of its transaction history or credit balance.

Question 3: Q3. Which statutory act governs the absolute assignment of trade receivables and actionable claims to a financing bank, bypassing the borrower's operational control?

Answer: Section 130 of the Transfer of Property Act, 1882.
Rationale: Section 130 of the Transfer of Property Act provides the legal framework for the absolute, irrevocable transfer of actionable claims (receivables) directly to the financing bank. Once signed, the corporate buyer is legally bound to pay only into the bank's escrow.

Question 4: Q4. According to commercial credit data, what percentage of active working capital borrowers in the ₹10 Lakhs to ₹2 Crores exposure segment is represented by Retail and Wholesale Traders in India?

Answer: 44% of total active borrowers.
Rationale: The SIDBI MSME Pulse Digital Report indicates that Retail and Wholesale Traders represent

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

the largest single category of active commercial borrowers, accounting for 44% of total active commercial borrowers in the high-density ₹10 Lakh to ₹2 Crore exposure segment.

Question 5: Q5. What are the active credit portfolio sizes of SBI's Electronic Dealer Financing Scheme (e-DFS) and Electronic Vendor Financing Scheme (e-VFS) respectively?

Answer: e-DFS is ₹49,261 Crores, and e-VFS is ₹28,092 Crores.
Rationale: These numbers represent the massive scale of SBI's digital trade finance portals. e-DFS automates inventory financing for dealers (₹49,261 Cr), while e-VFS manages supply chain invoice discounting for vendors (₹28,092 Cr).

Question 6: Q6. Under the GST Act, 2017, how are interest expenses and administrative arrangement fees taxed for seasonal bank borrowings?

Answer: Administrative fees attract 18% GST, while interest expenses are completely exempt from GST.
Rationale: In the Indian tax system, direct interest on bank loans is classified as a tax-exempt supply. However, all banking administrative and service charges (including processing and commitment fees) attract a standard 18% GST.

Question 7: Q7. An agriculture cold storage operator has an outstanding ad-hoc seasonal loan tranche of ₹80 Lakhs. The bank-appointed stock auditor notes that the market value of the pledged potato inventory has fallen to ₹90 Lakhs due to post-harvest price dilution. What risk metric has been breached if the bank requires a minimum safety margin of 25%?

Answer: The Margin/LTV Covenant.
Rationale: A 25% safety margin on a ₹90 Lakhs stock value allows a maximum borrowing of ₹67.5 Lakhs (₹90 Lakhs * 75%). An outstanding tranche of ₹80 Lakhs represents a severe margin breach (LTV of 88.9%), requiring the borrower to immediately inject cash or pledge additional collateral.

Question 8: Q8. An enterprise utilizes a structured seasonal loan with an annual interest cost of ₹10,00,000. Under which section of the Income Tax Act, 1961 is this interest fully deductible, and what is the post-tax cost at a corporate tax rate of 25.17%?

Answer: Section 36(1)(iii); Net Post-Tax Cost is ₹7,48,300.
Rationale: Section 36(1)(iii) of the Income Tax Act allows all interest expenses on capital borrowed for business purposes to be deducted from taxable income. The interest tax shield saves ₹2,51,700 (₹10 Lakhs * 25.17%), making the net cost ₹7,48,300.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.

Question 9: Q9. Under RBI's IRACP guidelines, what is the specific classification of an account where the principal or interest payment is overdue by 45 days?

Answer: Special Mention Account-1 (SMA-1).
Rationale: RBI's early warning SMA classification mandates that accounts with payments overdue by 1 to 30 days are SMA-0, 31 to 60 days are SMA-1, and 61 to 90 days are SMA-2. A 45-day default falls directly into SMA-1.

Question 10: Q10. Under the Factoring Regulation Amendment Act, 2021, what is the strict statutory window for registering factoring or receivable assignment charges with CERSAI?

Answer: Within 10 Days of the transaction.
Rationale: To prevent double-financing on digital platforms, the 2021 Amendments reduced the statutory window for registering factoring or supply chain receivable assignments with CERSAI to a strict 10-day period.

Copyright Notice: © 2026 www.loanbazaronline.com. All rights reserved.